TOPIC 9: ACCOUNTING FOR NON-CURRENT ASSETS

QUESTION 1

Gelakaya Sdn Bhd (GSB) has 2 machines. The first machine was purchased on 1 March 2000 priced at RM7,400 with RM1,400 residual value and useful lives of 6 years. Depreciation calculated using the declining balance method at a rate of 24% per annum.
Gelakaya Sdn Bhd (GSB) mempunyai dua buah mesin. Mesin pertama dibeli pada 1 Mac 2000 berharga RM7,400 dengan nilai sisa RM1,400 dan usiaguna 6 tahun. Pengiraan susut nilai menggunakan kaedah baki berkurangan pada kadar 24% setahun.

The second machine was purchased on 1 October 2002, priced at RM8,700 with RM1,600 residual value and useful lives of 10 years. Depreciation calculated using the declining balance method at a rate of 16% per annum.
Mesin kedua dibeli pada 1 Oktober 2002, berharga RM8,700 dengan nilai sisa RM1,600 dan usiaguna 10 tahun. Pengiraan susut nilai menggunakan kaedah baki berkurangan pada kadar 16% setahun.

An equipment purchased on 1 July 2000 priced at RM5,000. Second equipment purchased on 1 December 2002 priced at RM2,000. Calculation of depreciation of equipment using the straight line method at 10% per annum. GSB prepare financial statements for each year ending June 30.
Peralatan pertama dibeli pada 1 Julai 2000 berharga RM5,000. Peralatan kedua dibeli pada 1 Disember 2002 berharga RM2,000. Pengiraan susutnilai peralatan menggunakan kaedah garis lurus pada kadar 10% setahun. GSB menyediakan penyata kewangan pada setiap tahun berakhir 30 Jun.

INSTRUCTIONS:

Show journal entries to record depreciation in the financial year ended 30 June 2003. Show all the calculations.
Tunjukkan catatan jurnal bagi merekod susutnilai pada tahun kewangan berakhir 30 Jun 2003. Tunjukkan semua jalan pengiraan.) (CLO3, C3)

QUESTION 2

Ipoh Tanjung Sdn Bhd provides information related to equipment as follows:
(Tanjung Ipoh Sdn Bhd memberi maklumat peralatan perniagaan seperti berikut :)

Equipment	Date obtained *(Tarikh diperolehi)*	Cost (RM)	Residual Value *(Nilai Sisa)* (RM)	Useful Lives (years) *Usiaguna* (tahun)	Depreciation Method *(Kaedah susutnilai)*
P	1/1/99	212,000	32,000	10	Straight line *(Garis lurus)*
Q	1/5/00	196,000	24,000	8	Declining Balance (25%) *(Baki berkurangan)*

INSTRUCTIONS:

(i) Calculate the depreciation of the equipment at 31 December 2002. (rounded to the nearest ringgit)
Kirakan belanja susutnilai bagi setiap peralatan pada 31 Disember 2002. (bundar kepada ringgit terhampir) (CLO3, C4)

(ii) If equipment Q purchased on 1 January 2000, calculate depreciation on 31 December 2000.
Sekiranya peralatan Q dibeli pada 1 Januari 2000, kirakan susutnilai pada 31 Disember 2000. (CLO3, C4)

QUESTION 3

On 1 April 2011, Hanz Sdn. Bhd (HSB) purchased new equipment worth RM285,000. HSB receive trade allowance of RM70,000 for the old equipment of the same type and pay in cash. The following information relating to old equipment:
Pada 1 April 2011, Hanz Sdn. Bhd (HSB) membeli peralatan baru bernilai RM285,000. HSB menerima elaun tukar beli berjumlah RM70,000 bagi peralatan lama yang sama jenis dan membayar secara tunai. Maklumat berikut berkaitan peralatan lama:

Cost of equipment *Kos peralatan*	RM183,500
Accumulated depreciation at 31 December 2010 *Susutnilai terkumpul pada 31 Disember 2010*	RM96,000

Annu *Susutnilai tahunan*	RM12,000

Depreciation is calculated on monthly basis, no depreciation on the disposal date.
Susutnilai dikira mengikut bulan pemilikan, tiada susutnilai pada bulan pelupusan.

INSTRUCTIONS:

(i) Show journal entries to record depreciation in the current year up to the date of trade-in of old equipment.
Tunjukkan catatan jurnal bagi merekod susutnilai tahun semasa peralatan lama sehingga tarikh tukar beli. (CLO3, C3)

(ii) Show journal entries to record the purchase of new equipment on 1 April 2011.
Tunjukkan catatan jurnal merekod pembelian peralatan baru pada 1 April 2011. (CLO3, C3)

QUESTION 4

Details of non-current assets Tangga Batu Bhd. on 31 December 2006 are as follows:
Aset bukan semasa Tangga Batu Bhd. pada 31 Disember 2006 seperti berikut:

Non-current Assets	Cost (RM)	Accumulated depreciation (Susutnilai terkumpul) (RM)
Property *Hartanah*	2,500,000	-
Buildings *Bangunan*	13,275,000	1,062,000
Equipment *Peralatan*	26,500,000	10,600,000

Here are transactions involving non-current assets in 2007:
Berikut adalah urusniaga yang melibatkan aset bukan semasa dalam tahun 2007:

Mar. 3	Renovate buildings acquired on 1 February 2006 at a cost of RM450,000 and paid in cash. *Mengubahsuai bangunan yang dibeli pada 1 Februari 2006 dengan kos RM450,000 dan dibayar secara tunai.*
Apr. 1	Purchase of equipment at a cost of RM50,000. Other expenditure involved is transportation expenses of RM45,000, transport insurance RM800, installation expenses RM1,200 and cost of RM200 for test equipment. All payments are made by cheque. *Membeli peralatan dengan kos RM50,000. Perbelanjaan lain yang terlibat adalah belanja pengangkutan RM45,000, insurans pengangkutan RM800,*

	belanja pemasangan RM1,200 dan kos menguji peralatan RM200. Semua bayaran dibuat dengan menggunakan cek.
Jul. 1	Selling equipment at a price of RM7,000. The equipment purchased on 1 July 2002 at a cost of RM40,000. *Menjual sebuah peralatan dengan harga RM7,000. Peralatan ini dibeli pada 1 Julai 2002 dengan kos RM40,000.*

Additional information:

(1) Depreciation expense using the straight line method at the rate of 2% per year for buildings and 10% per annum for equipment.
Belanja susutnilai menggunakan kaedah garis lurus dengan kadar 2% setahun untuk bangunan dan 10% setahun untuk peralatan.

(2) The depreciation expense is recorded in yearly basis, no record in the year of disposal.
Belanja susutnilai direkod pada tahun dibeli dan tidak direkod pada tahun dijual.

INSTRUCTIONS:

(i) Show journal entries to record the above transactions. (description omitted)
Tunjukkan catatan jurnal bagi merekod urusniaga di atas. (keterangan diabaikan)
(CLO3, C3)

(ii) Show adjusting journal entries to record depreciation expense in 2007. (description omitted)
(Tunjukkan catatan jurnal pelarasan bagi merekod belanja susutnilai tahun 2007.) (keterangan diabaikan)
(CLO3, C3)

(iii) Show extract Statement of Financial Position as at 31 December 2007.
(Tunjukkan petikan Penyata Kedudukan Kewangan pada 31 Disember 2007.)
(CLO3, C3)

QUESTION 5

On 1 January 2009, Julie Enterprise has some equipment worth RM135,620 and RM81,374 accumulated depreciations.
Pada 1 Januari 2009, Julie Enterprise mempunyai beberapa peralatan bernilai RM135,620 dan susutnilai terkumpul RM81,374.

In 2009, Julie Enterprise has purchased new equipment at a cost of RM47,800 by selling old equipment (original cost RM36,000 and RM28,224 accumulated depreciation) at fair value (allowances trade) RM5,700.
Sepanjang tahun 2009, Julie Enterprise telah membeli peralatan baru pada kos RM47,800 dengan menjual peralatan lama (kos asal RM36,000 dan susutnilai terkumpul RM28,224) pada nilai saksama (elaun tukar beli) RM5,700.

Equipment is depreciated at 40% using the declining balance method. Full depreciation is charged on all equipment used at the end of the financial year and no depreciation charge in the year of disposal.
Peralatan disusutnilai pada kadar 40% dengan menggunakan kaedah baki berkurangan. Susutnilai penuh dikenakan pada semua peralatan yang diguna pada akhir tahun kewangan dan tiada susutnilai dikenakan pada aset yang dilupus pada tahun pelupusan.

Julie Enterprise financial year ended 31 December 2009.

Tahun kewangan Julie Enterprise berakhir pada 31 Disember 2009.

INSTRUCTIONS:

(i) Show calculations and prepare journal entries to record the purchase of new equipment and the sale of old equipment.
(Tunjukkan pengiraan dan sediakan catatan jurnal untuk merekod pembelian peralatan baru dan penjualan peralatan lama.) (CLO3, C3)

(ii) Calculate the depreciation expense for equipment and prepare journal entries to record depreciation expense in 2009.
(Kirakan belanja susutnilai untuk peralatan dan sediakan catatan jurnal bagi merekod belanja susutnilai tahun 2009.) (CLO3, C4)

QUESTION 6

Non-current assets for Ahmad Trading on 30 June 2004 are as follows:
(Aset bukan semasa Ahmad Trading pada 30 Jun 2004 adalah seperti berikut:)

Non-current Asset	Purchase date *(Tarikh belian)*	Cost (RM)	Accumulated depreciation *(Susutnilai terkumpul)* (RM)
Sewing machine *Mesin jahit*	1 July 2003	110,000	16,500
Vehicles *Kenderaan*	1 July 2003	225,000	22,500
Office Equipment *Peralatan pejabat*	1 July 2003	40,000	4,000

The following transactions incurred during the year ended 30 June 2005.
Urusniaga berikut berlaku sepanjang tahun berakhir 30 Jun 2005.

2004 Aug. 15	Buying a second hand sewing machine worth RM10,000. The sewing machine repair costs amounting to RM2,500. *Membeli sebuah mesin jahit terpakai bernilai RM10,000. Kos membaiki mesin tersebut berjumlah RM2,500.*
Okt. 7	Buying an office computer at a cost of RM6,700. *Membeli sebuah komputer pejabat dengan kos RM6,700.*
Dis. 15	Buying a vehicle for delivery of goods valued at RM90000, excluding the cost of painting the vehicle and logo of RM3,500 *Membeli sebuah kenderaan untuk penghantaran barang bernilai RM90,000, tidak termasuk kos mengecat kenderaan dan logo RM3,500.*
2005 Apr. 10	Buy a sewing machine RM25,000 including freight and insurance costs RM1,500. *Membeli sebuah mesin jahit RM25,000 termasuk kos pengangkutan dan insurans RM1,500.*
May 31	Bought RM75,000 vehicles including road tax and insurance RM2,000.

	Membeli kenderaan RM75,000 termasuk cukai jalan dan insurans RM2,000.

Depreciation is calculated on a monthly basis. The rate of depreciation of non-current assets is as follows:
Susut nilai dikira mengikut asas bulanan. Kadar susut nilai aset bukan semasa adalah seperti berikut:

Non-current assets	Depreciation method *(Kaedah susutnilai)*	Depreciation rate *(Kadar susutnilai)*
Sewing machine *Mesin jahit*	Straight line *Garis lurus*	15%
Vehicles *Kenderaan*	Declining balance *(Baki berkurangan)*	10%
Office Equipment *Peralatan pejabat*	Declining balance *Baki berkurangan*	10%

INSTRUCTIONS:

(i) Show journal entries to record the transactions that incurred during the current period.
Tunjukkan catatan jurnal bagi merekod urusniaga yang berlaku sepanjang tempoh tersebut. (CLO3, C3)

(ii) Tunjukkan adjusted journal entries to record depreciation expense on 30 June 2005 (rounded answer to the nearest ringgit).
Sediakan catatan jurnal pelarasan bagi merekod belanja susutnilai pada 30 Jun 2005. (bundarkan jawapan kepada ringgit terhampir) (CLO3, C3)

QUESTION 7

The balance of non-current assets Indah Sdn Bhd on 1 January 2000 are as follows:
(Baki akaun aset bukan semasa Indah Sdn Bhd pada 1 Januari 2000 seperti berikut:

	Cost *Kos* (RM)	Accumulated depreciation *Susutnilai terkumpul* (RM)
Land *Tanah*	300,000	-
Building *Bangunan*	560,000	60,000
Vehicles *Kenderaan*	135,000	75,000
Furniture & Fittings *Perabot & Kelengkapan*	115,000	32,000

ISB using the following method to calculate the depreciation of non-current assets.
ISB menggunakan kaedah berikut untuk mengira susut nilai aset bukan semasa.

Building *Bangunan*	2% of cost *2% atas kos*
Vehicles *Kenderaan*	20% of book value *20% atas nilai buku*
Furniture & fittings *Perabot & kelengkapan*	10% of cost *10% atas kos*

Provision for depreciation is made in full using yearly basis but no provision for year of disposal. The transactions incurred during the year ended 31 December 2000:
Peruntukan susutnilai dibuat penuh untuk tahun pembelian tetapi tiada peruntukan untuk tahun pelupusan. Urusniaga berikut berlaku dalam tahun berakhir 31 Disember 2000.

Date	Transactions
Jan. 13	Selling vehicles for RM50,000 cash. Accumulated depreciation of these vehicles is RM28,000. Loss on disposal is RM8,000. *Menjual kenderaan yang telah dibeli pada harga RM50,000. Susutnilai terkumpul untuk kenderaan ialah RM28,000. Rugi atas jualan ialah RM8,000.*
Mac 13	Buy special equipment at a cost of RM100,000. ISB paid in cash RM50,000 on the date of purchase, the balance will be paid in 5 months. Equipment is expected to be used for 8 years and has a scrap value of RM15,000. ISB using the straight-line method to depreciate this special equipment. *Membeli sebuah kelengkapan khas pada harga RM100,000. RM50,000 dibayar tunai pada tarikh pembelian manakala selebihnya akan dibayar 5 bulan akan datang. Kelengkapan ini dijangka boleh digunakan selama 8 tahun dan mempunyai nilai skrap sebanyak RM15,000. ISB menggunakan kaedah garis lurus untuk menyusut nilai kelengkapan khas ini.*

Apr. 1	Selling a building for RM64,000 cash. The building has a book value of RM42,000, was purchased in 1996 at a price of RM70,000. *Menjual sebuah bangunan secara tunai RM64,000. Bangunan yang mempunyai nilai buku RM42,000 telah dibeli pada tahun 1996 dengan harga RM70,000.*
Jul. 1	Buying a car for RM80,000 in cash. *Membeli sebuah kenderaan berharga RM80,000 secara tunai.*
Sept. 1	Pay the balance of the special equipment purchased in March. *Membayar baki harga kelengkapan khas yang dibeli pada bulan Mac.*
Nov. 21	Selling a piece of land at a price of $ 45,000 in cash. The original cost is RM35,000. *Menjual sebidang tanah dengan harga RM45,000 secara tunai. Kos asal ialah RM35,000.*
Dis. 31	Depreciation allocated to all non-current assets for the accounting year ending 31 December 2000. *Memperuntukkan susutnilai atas semua aset bukan semasa bagi tahun perakaunan berakhir 31 Disember 2000.*

INSTRUCTIONS:
Show journal entries to record the above transactions.
Tunjukkan catatan jurnal untuk merekod urus niaga di atas. (CLO3, C3)

QUESTION 8
Mr. Q, owner of Perniagaan Amarul exchanged old food processing machine for similar new food processing to meet the high demand. The following information is related to the transactions.
Encik Q, pemilik Perniagaan Amarul telah membuat keputusan untuk menukar mesin pemprosesan makanan yang lama kepada mesin yang baru bagi menampung permintaan yang tinggi. Maklumat berikut adalah berkaitan urusniaga tersebut.

Details	Model Samson (old)	Model Samlan (new)
Cost	RM125,000	RM150,000
Date of Possession *Tarikh milikan*	May 1, 2007	Jul 5, 2012
Residual value *Nilai sisa*	RM5,000	RM10,000
Useful life *Usia guna*	10 years	8 years

Additional information:
1. Model Samlan supplier has agreed to accept Model Samson and PA receive RM5,000 as exchange allowances.
   Pembekal Model Samlan telah bersetuju untuk menerima Model Samson dan PA menerima tunai RM5,000 sebagai elaun penukaran mesin.
2. Depreciation is calculated on monthly basic, no depreciation is on the disposal date.
   Perniagaan menetapkan belanja susutnilai dikira mengikut bulan pemilikan dan tiada susutnilai dikenakan pada bulan pelupusan.
3. PA accounting period ending every 31 December.
   Tempoh perakaunan PA berakhir pada 31 Disember.

INSTRUCTIONS:

(i) Show journal entries to record the purchase of Model Samlan on 5 July 2012. (description omitted)
Sediakan catatan jurnal bagi merekod pembelian Model Samlan pada 5 Julai 2012. (keterangan diabaikan) (CLO3, C3)

(ii) Prepare journal entries to record depreciation expense for the year 2012. (description omitted)
Sediakan catatan jurnal untuk merekod belanja susutnilai bagi tahun 2012. (keterangan diabaikan) (CLO3, C3)

ANSWER

QUESTION 1

Date	Details	Dr (RM)	Cr (RM)
Jun 30	Dr. Depreciation expenses Cr. Accumulated Dep. – Machine 1	944*	944
	Dr. Depreciation expenses (16% x 8,700 x 9/12) Cr.Accumulated Dep. – Machine 2	1,044	1,044
	Dr. Depreciation expenses (10% x 5,000)	500	500

	Cr.Accumulated Dep. – Equipment 1		
	Dr. Depreciation expenses (10% x 2,000 x 7/12) Cr. Accumulated Dep. – Equipment 2	117	117

Working:

Year	Depreciation	Acc.dep	Book value
			7,400
1 (30/6/00)	24% x 7,400 x 4/12 = 592	592	6,808
2 (30/6/01)	24% x 6,808 = 1,634	2,226	5,174
3 (30/6/02)	24% x 5,174 = 1,242	3,468	3,932
4 (30/6/03)	24% x 3,932 = **944**	4,412	2,988

QUESTION 2

(i) Equipment P:
Depreciation expense = (RM212,000 – RM32,000) / 10 = RM18,000

Equipment Q:

Year	Depreciation (RM)	Acc.dep (RM)	Book value (RM)
			196,000
2000	25% x 196,000 x 8/12 = 32,667	32,667	163,333
2001	25% x 163,333 = 40,833	73,500	122,500
2002	25% x 122,500 = **30,625**	104,125	91,875

Equipment R:

Depreciation expenses $= \frac{(RM518,000 - RM36,000)}{650,000 \text{ unit}} \times 205,000 \text{ unit}$

= RM151,700 / RM151,015

(ii) If equipment Q was purchased on 1 January 2000,
Depreciation expense in 2000 = 25% x 196,000
= RM49,000

QUESTION 3

(i) Record depreciation expenses on equipment.

Date	Details	Dr (RM)	Cr (RM)
Mac 31	Dr. Depreciation expenses Cr. Accumulated Depreciation (To record depreciation expenses) *RM12,000 x 3/12*	3,000	3,000

(ii) Recording new asset purchase.

Date	Details	Dr (RM)	Cr (RM)
April 1	Dr. Equipment (new) Accumulated Dep. – equipment (old)	285,000 99,000	

	Loss on disposal Cr. Equipment (old) Cash (To record exchange of assets)	14,500	 183,500 215,000

QUESTION 4

(i)

Date	Details	Dr (RM)	Cr (RM)
Mar 3	Dr. Building Cr. Cash	450,000	 450,000
April 1	Dr. Equipment Cr. Bank	97,200	 97,200
July 1	Dr. Accumulated dep. – Equipment (10% x 40,000 x 5) Cash Loss on disposal Cr. Equipment	20,000 7,000 13,000	 40,000

(ii)

Date	Details	Dr (RM)	Cr (RM)
2007 Dec. 31	Dr. Depreciation expense Cr. Accumulated dep. – Building (2% x 13,725,000)	274,500	 274,500
	Dr. Depreciation expense	2,655,720	

	Cr. Accumulated dep. – Building (10% x *26,557,200) *(26,500,000 + 97,200 – 40,000)		2,655,720

(iii)

Tangga Batu Bhd.
Statement of Financial Position (partial)
As at 31 Disember 2007

NON CURRENT ASSETS	**RM**	**RM**
Land		2,500,000
Building	13,725,000	
(-) Accumulated dep. – building ***(1,062,000 + 274,500)***	(1,336,500)	12,388,500
Equipment	26,557,200	
(-) Accumulated dep. – equipment ***(10,600,000 + 2,655,720 – 20,000)***	(13,235,720)	13,321,480
		28,209,980

QUESTION 5

(i)

Date	Details	Dr. (RM)	Cr. (RM)
2009	Dr. Equipment (new) Accumulated dep. – Equipment (old) Loss on disposal Cr. Equipment (old) Cash	47,800 28,224 2,076	 36,000 42,100

(ii) Balance of equipment (c/f) = beginning costs + New purchases - Costs sold
= RM135,620 + RM47,80 – RM36,000
= RM147,420

The accumulated depreciation account at the end of the year:
= beginning balance – accumulated depreciation
= RM81,374 – RM28,224
= RM53,150

Depreciation year 2009 = 40% X (cost – accumulated depreciation)
= 40% X (RM147,420 – RM53,150)
= RM37,708

Date	Details	Dr. (RM)	Cr. (RM)
2009 Dec. 31	Dr. Depreciation expense	37,708	

	Cr. Accumulated Dep. – Equipment		37,708

QUESTION 6

(i)

Date	Details	Dr. (RM)	Cr. (RM)
2004 Aug. 15	Dr. Sewing machine Cr. Cash	12,500	12,500
Oct. 7	Dr. Office equipment Cr. Cash	6,700	6,700
Dec. 15	Dr. Vehicle Cr. Cash	93,500	93,500
2005 Apr. 10	Dr. Sewing machine Cr. Cash	25,000	25,000
May 31	Dr. Vehicle Cr. Cash	75,000	75,000

(ii)

Date	Details	Dr. (RM)	Cr. (RM)
2005 June 30	Dr. Depreciation expense Cr. Accumulated dep. – Sewing machine (110,000 x 15%) + (12,500 x 15% x 11/12) + (25,000 x 15% x 3/12)	19,157	19,157
	Dr. Depreciation expense Cr. Accumulated dep. – Vehicle [(225,000 – 22,500) x 10%] + (93,500 x 10% x 7/12) + (73,000 x 10% 1/12)	26,312	26,312
	Dr. Depreciation expense Cr. Accumulated dep. – Office equipment [(40,000-4,000) x 10%] + (6,700 x 10% x 9/12)	4,103	4,103

QUESTION 7

Date	Details	Dr. (RM)	Cr. (RM)
Jan.13	Dr. Accumulated depreciation Cash Loss on disposal Cr. Vehicle (To record sale of van at a loss)	28,000 14,000 8,000	50,000
Mac 13	Dr. Equipment Cr. Cash Account payable (To record purchase of special equipment)	100,000	50,000 50,000
Apr. 1	Dr. Accumulated depreciation Cash Cr. Building Gain on disposal (To record sale of building at a gain)	28,000 64,000	70,000 22,000
Jul. 1	Dr. Vehicle	80,000	

	Cr. Cash (To record purchase of vehicle)		80,000
Sept 1	Dr. Account Payable Cr. Cash (To record payment of special equipment)	50,000	 50,000
Nov. 21	Dr. Cash Cr. Land Gain on disposal (To record sale of land at a gain)	45,000	 35,000 10,000
Dec. 31	Dr. Depreciation expense Cr. Accumulated dep. – Building (2% X RM490 000) Dr. Depreciation expense Cr. Accumulated dep. – Vehicle (20% X RM38 000) + (20% X RM80 000) Dr. Depreciation expense Cr. Accumulated dep. – Furniture and fitting (10% @ 115 000) + $\left[\frac{100\ 000 - 15\ 000}{8}\right]$	9,800 23,600 22,125	 9,800 23,600 22,125

QUESTION 8

(i)

Date	Details	RM	RM
Jul. 5	Dr. Cash Machine (new)(Samlan) Acc. dep.- Machine (old)(Samson) Cr. Machine (old)(Samson) Gain on disposal (To record exchange of old machine to new machine) Accumulated depreciation: Yearly = $\frac{\underline{RM125,000 – RM5,000}}{10}$ = <u>RM12,000</u> 2007 =8/12 X RM12000 = <u>RM8,000</u> 2008-2011 = RM12000 X 4 = <u>RM48,000</u> 2012 = 6/12 X RM12,000 = <u>RM6,000</u> Total = RM62,000 Book value = RM125,000-RM62,000 = <u>RM63,000</u> Gain/loss = RM150,000+RM5,000 - RM63,000 = <u>RM92,000</u>	5,000 150,000 62,000	 125,000 92,000

(ii)

Date	Details	RM	RM
Dis 31	Dr. Depreciation expense Cr. Accumulated depreciation (To record depreciation expenses) *(RM150,000-RM10,000)/8 X 6/12*	8,750	 8,750